Insights & Recommendations Report

DA-23 Salary Band & Pay Gap Analysis | HR & Workforce | Prepared for: HR Leadership

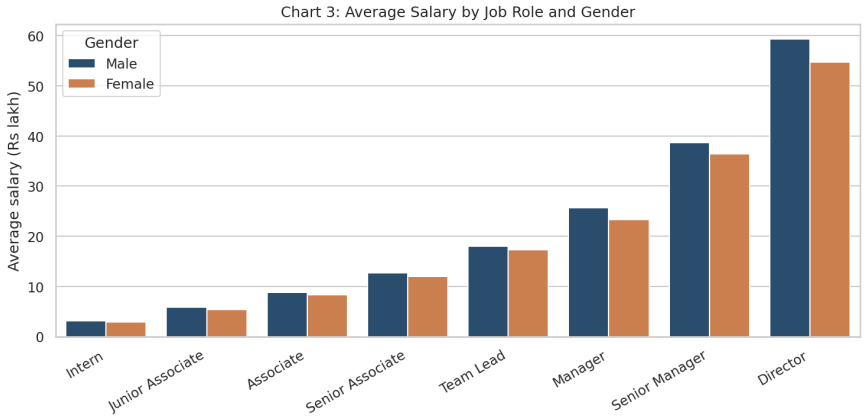
1. Executive Summary

Question: Is pay consistent across roles and gender?

Answer: No. Women earn **6.2% less** than men on average (Rs 13.26 lakh vs Rs 14.15 lakh), and the gap remains **6.5% after controlling** for job level, experience, performance, department and city. Salary bands are also very wide and pay is not linked to performance. Closing the gap would cost about **Rs 36 crore a year (2.5% of payroll)**, a manageable cost compared with the legal, attrition and reputation risks of leaving it.

2. Key Insights

#	Insight	Evidence	Source
1	**A consistent gender pay gap**	6.24% overall; men earn more in all 8 roles (4.2% to 8.9%); largest at Manager (8.9%) and Director (7.9%).	SQL Q3, Q4; EDA Chart 3
2	**The gap is not explained by role, experience or performance**	Regression controlling for level, experience, performance, department and city still shows women earn 6.5% less (t = -31). Women with a rating of 5 earn 8.0% less than men with a rating of 5.	EDA Section 5; SQL Q10
3	**Gap hot spots**	Customer Support 12.4% and Finance 10.4% by department; pockets near 20% such as Customer Support in Jaipur (19.7%) and Data Science in Bengaluru (19.5%). IT is the closest to equal pay (1.7%).	EDA Chart 4; SQL Q5
4	**Salary bands are wide and overlap**	Highest paid in a role earns 3.5x to 4.6x the lowest. An Associate can earn Rs 15.9 lakh while a Senior Associate can earn Rs 5.3 lakh. 368 employees earn above 1.5x their role average.	SQL Q2, Q6
5	**Pay is not linked to performance**	Correlation between rating and salary is 0.00. Average pay of rating 5 staff (Rs 14.0 lakh) is only 5.5% above rating 1 staff (Rs 13.3 lakh).	EDA Chart 5
6	**Pay depends heavily on city**	Bengaluru (Rs 16.2 lakh) pays about 29% more than Jaipur (Rs 11.5 lakh) for the same company, with no formal location policy visible in the data.	SQL Q8; EDA Chart 7
7	**Women sit at the low end of pay, not the low end of the hierarchy**	Women are 38% to 41% of every role, but 42.8% of the lowest pay quartile vs 37.4% of the top quartile.	SQL Q9; EDA Chart 8



Men earn more than women in every job role.

3. Business Impact

Area	Impact
Financial	Total payroll in the dataset is about Rs 1,445 crore. Raising women's pay by about 6.9% (to remove the unexplained 6.5% gap) costs about **Rs 36 crore per year, or 2.5% of payroll**. Average gap per woman: about Rs 88,000 a year.
Legal and compliance	In India the Equal Remuneration Act (now part of the Code on Wages, 2019) requires equal pay for the same work. A documented, unexplained gap is a compliance and litigation risk.
Retention	Unequal pay and pay that ignores performance push high performers, especially women (38% of staff), to leave. Replacement cost is commonly 50% to 100% of annual salary.
Cost control	368 employees paid above 1.5x their role average and bands up to 4.6x wide make payroll unpredictable and hard to defend.
Employer brand	Pay equity is increasingly reported by investors and job seekers; a visible gap hurts hiring.

4. Recommendations

R1. Run a pay equity adjustment (priority 1)

Action: Give equity increases to women paid below their male peers in the same role and department, starting with Manager, Director, Customer Support and Finance, and the hot-spot cities (Jaipur, Bengaluru, Kochi). Phase over two pay cycles.
Expected result: Budget about Rs 36 crore (2.5% of payroll). Target: gap under 2% in 12 months. Owner: CHRO with Finance.

R2. Redesign salary bands

Action: Set a midpoint for each of the 8 levels and a range of about 25% either side (max to min ratio near 1.5x, instead of 3.5x to 4.6x). Remove overlap between adjacent levels. Review the 368 employees above 1.5x their role average; keep a documented reason or freeze their increases until the band catches up.
Expected result: About 30% of staff fall outside a 25% range today, so phase them in over two cycles. Owner: Compensation team.

R3. Link pay to performance

Action: Introduce a merit matrix: for example 8% to 10% for rating 5, 5% for rating 4, 3% for rating 3, 0% for ratings 1 to 2, adjusted by position in the band. Calibrate ratings across departments to avoid bias.
Expected result: Target: correlation between rating and pay above 0.3 within 2 cycles. Owner: HRBPs and line managers.

R4. Fix hiring and promotion pay rules

Action: Make job offers from the band midpoint, not from past salary or negotiation. Require HR approval for offers above 90% of band max. Review promotion increases by gender every cycle.
Expected result: Prevents new gaps. Owner: Talent Acquisition and Compensation.

R5. Add a location policy and a monitoring dashboard

Action: Create 2 to 3 city tiers (for example Tier 1: Bengaluru, Mumbai, Delhi) with fixed differentials. Publish the Power BI dashboard to HR leadership and review the gap, band breaches and gender mix quarterly. Fix data gaps: 98 employees without a department, 321 without a stated gender, 210 without a joining date.
Expected result: KPIs: gap, % outside band, women % by quartile. Owner: HR Analytics.

5. Implementation Roadmap

Timeline	Actions
0 to 30 days	Share findings with leadership; freeze offers above band; start data fixes (department, gender, joining date); approve equity budget.
30 to 90 days	Design bands and merit matrix; identify individual equity adjustments; set city tiers; launch the Power BI dashboard.
3 to 6 months	Apply first equity adjustments (about half the budget); communicate the new bands; train managers on rating calibration.
6 to 12 months	Apply remaining adjustments; first full annual pay equity audit; report results to leadership.

6. Success Measures (KPI targets)

KPI	Today	Target
Gender pay gap	6.2%	Below 2% in 12 months
Gap after controls	6.5%	Below 1%
Employees outside band (+/- 25%)	About 30%	Below 10% in 18 months
Employees above 1.5x role average	368	Zero without approval
Rating vs salary correlation	0.00	Above 0.30
Women % in top pay quartile	37.4%	Equal to overall share (about 39%)
Missing department / gender data	98 / 321	Zero for new records

7. Assumptions and Limitations

- The dataset is synthetic and created for this project, so figures illustrate the method; with real data the same steps and queries apply.
- About 5% of salaries (536 records) were imputed during cleaning; excluding them does not change the direction of the findings.
- Cost estimates assume equalising the average adjusted gap (6.5%) and are indicative; the true cost needs individual-level review.
- Gender analysis covers only employees recorded as Male or Female (10,179 of 10,500). Job content, skills and negotiation history were not in the data and could explain part of any gap in practice.

8. Conclusion

Pay is **not consistent**. The unexplained 6.5% gender gap, very wide salary bands and the lack of a link between performance and pay are all fixable with a clear equity budget, tighter bands, a merit matrix and ongoing monitoring. Starting with R1 and R2 gives the biggest and fastest improvement.